

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-03

EUROMARKET DESIGNS, INC. v.

MSC MEDITERRANEAN SHIPPING COMPANY SA, OCEAN NETWORK EXPRESS PTE.
LTD., EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC#011982), EVERGREEN
MARINE CORP. (TAIWAN) LTD., EVERGREEN MARINE (UK) LIMITED, ITALIA
MARITTIMA SpA, EVERGREEN MARINE (HONG KONG) LTD., EVERGREEN MARINE
(SINGAPORE) PTE. LTD., HMM COMPANY LIMITED, MAERSK A/S, CMA CGM S.A.,
APEX MARITIME CO, INC., CHINA UNITED TRANSPORT, INC., COSCO SHIPPING
LINES CO., LTD., AND WAN HAI LINES LTD.

**COMPLAINANT EUROMARKET DESIGNS, INC.'S MEMORANDUM IN
OPPOSITION TO RESPONDENT CMA CGM S.A.'S MOTION TO DISMISS**

TABLE OF CONTENTS

STANDARD.....	1
ARGUMENT	2
I. The Presiding Officer Should Deny the Motion Because the Complaint Already Adequately Alleges that Complainant Is a Direct Payor to CMA.	2
A. The Complaint Explicitly Alleges that EDI Was a Direct Payor.	3
B. CMA’s Motion Improperly Seeks to Hold the Complaint to an Evidentiary Standard of Proof Instead of the Applicable Pleading Standard.....	5
C. EDI Has Already Procured Assignment of Claims Relating to the Charges, Rendering CMA’s Arguments Moot.....	8
II. The Factual Allegations in the Complaint Are More than Sufficient for the “Circumstantial, Fact-Bound” Analysis of Each Transaction Required by the Commission.	9
A. The Complaint Contains Sufficient Allegations to Support a Claim.	10
B. CMA’s Interpretation of Evergreen Is Not Applicable to a Motion to Dismiss.	12
C. The Complaint Does Not Merely Recite Legal Conclusions.....	13
D. CMA’s Arguments About “Time-Barred” Charges Are Premature.....	13
CONCLUSION.....	14

TABLE OF AUTHORITIES

Cases

<i>A.P. Moller-Maersk A/S v. Ocean Express Miami</i> , 550 F. Supp. 2d 454 (S.D.N.Y. 2008).....	7
<i>Ashcroft v. Iqbal</i> , 556 U.S. 662 (2009)	9, 11
<i>Bell Atlantic Corp. v. Twombly</i> , 550 U.S. 544 (2007).....	1, 9, 11
<i>Block v. Seneca Mortg. Servicing</i> , 221 F. Supp. 3d 559 (D.N.J. 2016).....	10
<i>Evergreen Shipping Agency (Am.) Corp. v. FMC</i> , 106 F.4th 1113 (D.C. Cir. 2024).....	12
<i>Harris v. Citimortgage, Inc.</i> , 878 F. Supp. 2d 154 (D.D.C. 2012)	2
<i>In re: Vehicle Carrier Services</i> , 1 F.M.C.2d 440l, 2019 WL 5558120 (FMC Oct. 21, 2019) 5, 6, 7	
<i>J. Ambrogi Food Distribution, Inc. v. Teamsters Local Union</i> , 595 F. Supp. 3d 352 (E.D. Pa. 2022).....	10
<i>Maher Terminals, LLC v. The Port Authority of New York and New Jersey</i> , FMC Dkt. No. 12-02, 2015 WL 9426189 (FMC Dec. 18, 2015)	9
<i>MAVL Capital Inc., v. Marine Transport Logistics, Inc.</i> , FMC Dkt. No. 16-16, 2 F.M.C. 2d 198, 2020 WL 13512925 (FMC 2020).....	1
<i>MCS Industries, Inc. v. COSCO SHIPPING Lines Co.</i> , FMC Dkt. No. 21-05, 2022 WL 458569 (FMC C.A.L.J. Feb. 4, 2022)	1
<i>MCS Industries, Inc. v. Mediterranean Shipping Company S.A.</i> , FMC Dkt. No. 21-05, 2024 WL 95383 (FMC Jan. 3, 2024)	1
<i>Mediterranean Shipping Company - Investigation for Compliance with §§ 41103(a) and 41102 of Demurrage or Detention Charges Under the Charge Complaint Procedures of 46 U.S.C. § 41310</i> , Docket No. CC-001 (FMC Sept. 29, 2023).....	6, 7
<i>Ovchinnikov v. Hitrinov</i> , 2023 WL 1963462 (FMC Feb. 8, 2023).....	14
<i>Rendezvous Int’l v. Chief Cargo Servs., Inc.</i> , FMC Dkt. No. 10-07, 2010 WL 8367625 (FMC ALJ Sept. 17, 2010).....	2
<i>TCW v. Evergreen Shipping Agency, et al.</i> , FMC Dkt. No. 1966(I), Dkt. Entry No. 16.....	12
<i>Visual Comfort & Co. v. COSCO Shipping Lines</i> , FMC Dkt. No. 24-01, 2024 WL 1996206 (FMC ALJ Apr. 30, 2024).....	4

Rules

Final Rule for Demurrage and Detention Billing Requirements	7
Rule 62 of the Commission’s Rules of Practice and Procedure	10, 11
Rule 8 of the Federal Rules of Civil Procedure	10

Treatises

Moore’s Federal Practice	14
--------------------------------	----

Regulations

NPRM Amendments to Commission’s Rules of Practice and Procedure-Subparts E and L, 77 F.R. 12528 (Mar. 1, 2012).....	10
---	----

Complainant Euromarket Designs, Inc. (“Complainant” or “EDI”), by and through counsel, files this Memorandum in Opposition to Respondent CMA CGM S.A.’s (“Respondent” or “CMA”) Motion to Dismiss (the “Motion”), and states as follows in support of such opposition.

CMA’s Motion fails because (1) EDI’s Verified Complaint filed in this proceeding (the “Complaint”) adequately states a claim against CMA, including that EDI was a direct payor with respect to payments for CMA’s improper imposition of detention and demurrage penalties on Complainant; (2) CMA improperly seeks to impose an *evidentiary* standard for proving a claim, only intended for use on the merits and after discovery, as a *pleading* standard for alleging a claim in an initial pleading; and (3) CMA misinterprets the applicability of the “direct purchaser” rule that it invokes to the Charges at issue.

STANDARD

The Federal Maritime Commission (the “Commission”) “looks to Federal Rule of Civil Procedure . . . 12(b)(6) when considering dismissals based on failure to state a claim.” *MCS Industries, Inc. v. COSCO SHIPPING Lines Co.*, FMC Dkt. No. 21-05, 2022 WL 458569, at *3 (FMC C.A.L.J. Feb. 4, 2022) (“MCS I”), *aff’d sub nom. MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, FMC Dkt. No. 21-05, 2024 WL 95383 (FMC Jan. 3, 2024) (“MCS II”) (quoting *MAVL Capital Inc., v. Marine Transport Logistics, Inc.*, FMC Dkt. No. 16-16, 2 F.M.C. 2d 198, 2020 WL 13512925, at *4 (FMC 2020)). “Under Fed. R. Civ. P. 12(b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *Id.* (quoting *MAVL Capital*, 2020 WL 13512925, at *5).

The facts alleged must “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007) The facts alleged must allow the Commission to reasonably infer that respondent may be liable for the conduct alleged and provide “*fair notice*” of the nature of the claims and bases for asserting them.

MAVL Capital, 2020 WL 13512925, at *5 (emphasis added). “The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim.” *MCS I*, 2022 WL 458569 at *4 (citation omitted). As the movant, Respondent “bears the burden of proving the [Complainant] has failed to articulate a claim upon which relief could be granted.” *Harris v. Citimortgage, Inc.*, 878 F. Supp. 2d 154, 158 (D.D.C. 2012).

The Presiding Officer must take the allegations in the Verified Complaint as true and draw all factual inferences in favor of Complainant. *See, e.g., Rendezvous Int’l v. Chief Cargo Servs., Inc.*, FMC Dkt. No. 10-07, 2010 WL 8367625, at *5 (FMC ALJ Sept. 17, 2010). The only question is whether, drawing all such inferences in the Complainant’s favor, Complainant has alleged sufficient facts to state a plausible claim for relief. *Id.*

ARGUMENT

I. The Presiding Officer Should Deny the Motion Because the Complaint Already Adequately Alleges that Complainant Is a Direct Payor to CMA.

In response to the Complaint’s well-pled allegations that CMA imposed improper detention and demurrage penalties (the “Charges”) on EDI during time periods when such Charges were not just or reasonable due to circumstances outside of EDI’s control, such as congestion at ports, a lack of appointments to pick up or return containers, and shortages of equipment or chassis, *see* Compl. ¶¶ 122, 151–156, CMA seeks dismissal of the claims brought against it based on the false premise that the Complaint fails to explicitly allege *direct* payment by EDI to CMA of the Charges or a valid assignment from such a direct payor. This argument is baseless because (1) the Complaint *explicitly* alleges that EDI was a direct payor with sufficient particularity to state its claims, and (2) CMA improperly seeks to impose an *evidentiary* burden on a preliminary motion relating to an initial pleading, (3) recent decisions demonstrate that the direct purchaser rule that

CMA seeks to invoke is inapplicable to the Charges at issue in this proceeding, and (4) EDI has, in fact, procured assignment of claims relating to the Charges, rendering CMA's arguments moot.

A. The Complaint Explicitly Alleges that EDI Was a Direct Payor.

CMA's Motion argues that "Complainant never alleges direct payment to CMA for transportation services regarding the shipments at issue in the Complaint." Mot. at 5. This simply *ignores* plain allegations in the Complaint to the contrary:

- Paragraph 122 of the Complaint expressly alleges that "the Charges *assessed by Respondents and paid by Complainant* were assessed during periods of time in which such Charges were not just or reasonable" (emphasis added).
- Paragraph 125 alleges that "[t]he demurrage Charges *imposed by Respondents on Complainant* also cannot be justified" (emphasis added).
- Paragraph 151 specifically states that "CMA's persistent delays, lack of responsiveness, and operational failures resulted in excessive and unjust Charges being imposed on Complainant."
- Paragraphs 152 through 154 describe communications directly between Complainant and CMA regarding detention-related issues, including the lack of terminal accessibility and stating "[t]his is what needs to be fought *with CMA*. Not only are *they* causing detention but also tens of thousand of dollars in demurrage" (emphasis added).

Taking the facts alleged in the Complaint as true and any inferences in Complainant's favor, these allegations—and especially the allegation that Charges were assessed *by* Respondents, which by definition includes CMA, and then *paid by* Complainant—completely defeat any argument that the Presiding Officer should dismiss the well-pled Complaint, as the Complaint

makes the *exact claim* that CMA argues is lacking. CMA’s strained interpretation of the Complaint seeks to read out allegations that the Charges were assessed by CMA to Complainant while ignoring the plain language of the allegations and the reasonable inferences flowing from them, including that fighting Charges “with CMA” indicate that those Charges came “from” CMA as opposed to a third party. CMA’s argument is a non-starter.

Further, while the plain language of the Complaint clearly alleges that Complainant was a direct payor of the Charges, a recent decision in another Commission proceeding further demonstrates the fallacy in CMA’s strained argument. In *Visual Comfort & Co. v. COSCO Shipping Lines*, FMC Dkt. No. 24-01, 2024 WL 1996206 (FMC ALJ Apr. 30, 2024) (Order Denying Respondent’s Motion for Partial Judgment on the Pleadings), at *1, the respondent sought to dismiss the complaint there through a partial judgment on the pleadings by claiming that it had passed any demurrage or detention charges through a non-vessel operating common carrier (“NVOCC”), rather than billing them directly to the complainant. However, the presiding officer in that proceeding—noting that the standard on a motion on the pleadings is “essentially the same” as on a motion to dismiss—refused to grant the respondent’s motion because on such a motion “fact finders are to construe claims liberally, accept as true all well-pleaded facts, and draw all reasonable inferences in the complainant’s favor.” *Id.* at *2. Based on that standard, the presiding officer there found that an allegation that the complainant was a “‘shipper’ pursuant to 46 U.S.C. 40102(23)” who shipped thousands of containers “*is sufficient at this stage to allege that [complainant] was the direct purchaser.*” *Id.* (emphasis added). Here, in addition to explicit allegations that CMA imposed and Complainant paid the Charges, the Complaint further alleges that “Complainant was a ‘shipper’ as that term is defined by 46 U.S.C. Section 40102(23)”, Compl.

¶ 16, and thus, as in *Visual Comfort*, satisfies the applicable burden on a motion to dismiss that it was a direct payor.

B. CMA’s Motion Improperly Seeks to Hold the Complaint to an Evidentiary Standard of Proof Instead of the Applicable Pleading Standard.

As set forth above, the Complaint sufficiently alleges that Complainant was a direct payor for the purposes of surviving a motion to dismiss. This resolves the Motion in Complainant’s favor and the Presiding Officer need not analyze the Motion further.

That said, it is worth noting that CMA, in bringing this Motion, seeks to hold Complainant to a final evidentiary standard of proof at the motion to dismiss stage. CMA’s Motion relies on the Commission’s statement in *In re: Vehicle Carrier Services*, 1 F.M.C.2d 4401, 2019 WL 5558120, at *6 (FMC Oct. 21, 2019), that “Complainants can recover only if they *introduce evidence* that they actually paid the carrier or received an assignment from someone who did.” Mot. at 7 (emphasis added). CMA’s reliance on *In re: Vehicle Carrier Services*, however, is misplaced, and recent decisions by the Commission and its Administrative Law Judges have indicated that the direct purchaser rule does not present a bar to Complainant’s claims here at the pleadings stage.

First, CMA’s reliance on *In re: Vehicle Carrier Services* improperly conflates the *evidentiary burden* that a complainant must meet in order to prevail on the merits—after discovery and a hearing—with the *pleading standard* required at the outset of a proceeding. What must be proven through evidence at trial or on summary judgment is a separate issue from what must be alleged in a complaint to survive a motion to dismiss and, as set forth above, the Complaint here alleges more than enough to state a plausible claim that Complainant was a direct payor. What “evidence” must be “introduc[ed]” in a proceeding to prevail on the merits is not relevant to what must be alleged for a complaint to survive a motion such as the Motion here.

Second, the complaint in *In re: Vehicle Carrier Services*, far from making explicit statements that the complainant there paid the respondents (as the Complaint does here), explicitly stated ***precisely the opposite*** by pleading that the complainant had “indirectly” paid for the services at issue. *Vehicle Carrier Services*, at *7. For that reason, that case does not, and cannot, stand for the proposition asserted by CMA and should not be extended to somehow require any more than what Complainant has already done here: allege that it was a “shipper” under the Shipping Act that paid Respondents—by definition including CMA—detention and demurrage Charges assessed by Respondents.

Third, *In re: Vehicle Carrier Services* did not involve detention and demurrage Charges, which CMA does not appear to dispute. This distinction matters, as more recent decisions have demonstrated that a complaint need ***not*** expressly allege that a complainant was a direct payor in certain instances. First, as discussed above, the recent *Visual Comfort* decision makes clear that—at least at the pleading stage—certain alleged facts, such as being a “shipper” as defined by the Shipping Act, are sufficient to properly infer that a complainant directly paid detention and demurrage charges. Second, the Commission’s Order in *Mediterranean Shipping Company - Investigation for Compliance with §§ 41103(a) and 41102 of Demurrage or Detention Charges Under the Charge Complaint Procedures of 46 U.S.C. § 41310*, Docket No. CC-001, at 3 (FMC Sept. 29, 2023) (“*MSC Charge Complaint*”), explains that even in situations where a detention or demurrage charge comes from an NVOCC, a VOCC ***can still be the ultimately responsible party***:

MSC is claiming that it is the wrong party in this proceeding because its customer was an NVOCC. Under the Shipping Act’s charge complaints provision, however, ***when the common carrier assessing a charge is an NVOCC, the Commission must consider whether another party, such as an ocean common carrier, is ultimately responsible.*** The facts demonstrate that MSC acted as the ocean common carrier with respect to SOFi’s shipment. As the ocean common carrier with respect to the shipment in question, MSC is the proper party in this charge complaint proceeding.

Id. (emphasis added). Finally, to the extent that any NVOCC stood as a “middleman” in passing along any particular Charge, as the Commission’s recent Final Rule for Demurrage and Detention Billing Requirements (the “Final Rule”) acknowledges,¹ “in most, if not all cases, NVOCCs pass through” demurrage and detention charges billed to them on invoices generated by VOCCs. Final Rule p. 14361. It is understood that NVOCCs, in passing on invoices, act **as agents** for both the shipper **and the carrier**. See *A.P. Moller-Maersk A/S v. Ocean Express Miami*, 550 F. Supp. 2d 454, 466 (S.D.N.Y. 2008) (discussing that NVOCCs act as agent for both the cargo owner/shipper and the carrier). By acting as the agent of both entities, it is consistent with the determination of the Commission in *MSC Charge Complaint* that a VOCC (such as CMA) can still be a responsible party for improper or unjust Charges even where such Charges are passed through an NVOCC. Thus, although the Presiding Officer need not reach this issue because the Complaint plausibly alleges that Complainant **was** a direct payor, even for any Charges that were paid by Complainant to CMA through an NVOCC, the relevant agency relationships would be a matter for discovery, and not resolved on a motion to dismiss.²

Respondent does not cite to any case holding that a Complainant must state it was a “direct purchaser” in the Complaint in order to establish a claim. In this regard, Respondent’s reliance on *In re Vehicle Carriers Services* is misplaced. The complainants in *In re Vehicle Carriers Services* explicitly stated the exact opposite by pleading that they “indirectly” paid for services. *Id.* at *7.

¹ Complainant acknowledges that the Final Rule, which did not become effective until May 28, 2024, would not be directly applicable to the Charges assessed against Complainant by CMA, but to the extent the Final Rule reiterated existing law, it supports Complainant’s position here.

² For example, to the extent that EDI is shown through discovery to have been listed on any master bill of lading as the consignee or beneficial cargo owner, it could be liable to a VOCC for the payment of charges such as demurrage charges if the NVOCC agent did not pay the charges, a factor that the presiding officer in *Visual Comfort* also found relevant. See 2024 WL 1996206, at *3 (citing *Mediterranean Shipping Co. v. Best Tire Recycling, Inc.*, 254 F.Supp.3d 305, 308 (D.P.R. 2015)).

Here, by contrast, nowhere does the instant Complaint assert all payments to Respondent were “indirect”. Instead, it alleges that Complainant was required to pay CMA-imposed charges, regardless of whether those payments were made directly or through intermediaries. Thus, Respondent’s attempt to draw a parallel to Vehicle Carriers fails.

Finally, CMA makes much of the Complaint’s description of CMA as a Non-Service Contract Respondent. Compl. at 2. This categorization simply reflects that Complainant had not entered into a service contract with CMA. It does nothing to preclude a Shipping Act claim against CMA, as the Complaint alleges that the Complainant paid demurrage and detention Charges that were imposed by multiple respondents, including CMA, due to various circumstances and practices such as congestion, delays, and refusal to take returns. Compl. ¶¶ 117–71.

C. EDI Has Already Procured Assignment of Claims Relating to the Charges, Rendering CMA’s Arguments Moot.

EDI also has already procured assignment of claims relating to the Charges. *See* Ex. A (assignment agreement with NVOCC regarding Charges paid by the NVOCC in connection with EDI’s cargo carried by CMA that was then reimbursed by EDI). According to EDI’s records, the assigning NVOCC directly purchased services from CMA in connection with EDI cargo carried by CMA, and paid CMA detention and demurrage Charges in connection with EDI cargo, which EDI then reimbursed. EDI and the NVOCC executed an agreement in which the NVOCC assigned to EDI any of its potential claims in connection with detention and demurrage Charges that the NVOCC paid and EDI reimbursed. Because of this valid assignment, under any interpretation of the “direct purchaser” rule, EDI has standing to assert its claims against CMA in connection with such Charges, rendering CMA’s Motion moot.³

³ Because the assignment agreement attached as Exhibit A provides a clear basis for standing, there is no need to interpret the outer boundaries of the direct purchaser rule as articulated by *In re Vehicle Carrier Services*.

II. **The Factual Allegations in the Complaint Are More than Sufficient for the “Circumstantial, Fact-Bound” Analysis of Each Transaction Required by the Commission.**

CMA’s second argument similarly disregards the appropriate pleading standard with regard to the alleged Shipping Act violations at issue, inaccurately contending that Complainant is required to provide in its initial Complaint specific, itemized evidence underlying *every single Charge at issue*. CMA’s argument is contrary to Commission precedent and should be rejected.

“The factual allegations needed to reach plausibility will vary depending on the complexity of the case, ‘both to give the opposing party *notice of what the case is all about* and to show how, in the *plaintiff’s* mind, the dots should be connected.’” *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Dkt. No. 12-02, 2015 WL 9426189 at *13 (FMC Dec. 18, 2015) (quoting *Swanson v. Citibank, N.A.*, 614 F.3d 400, 405 (7th Cir. 2010)) (emphasis added). The focus of this notice pleading standard is avoiding prejudice to the respondent, ensuring that the respondent is not left without enough information to defend itself. That concern is entirely absent here, where CMA is fully aware of the nature of EDI’s claims, the Charges at issue, and the harm suffered; CMA’s argument mischaracterizes both the Complaint and the applicable legal standards governing demurrage and detention claims under the Shipping Act. Indeed, not only has CMA *not* identified any specific “prejudice” from the purported lack of detail in the complaint, but there is no such prejudice to CMA. To the contrary, the heightened, improper pleading standard that CMA’s Motion seeks to impose on Complainant would, in fact, prejudice Complainant (and all other shippers) by imposing a burden far exceeding what the Commission actually requires. As detailed herein, the Complaint here contains sufficient factual allegations to state a plausible claim for relief, meeting the pleading standards established by *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007), and *Ashcroft v. Iqbal*, 556 U.S. 662 (2009), and CMA’s attempt to impose an unduly stringent pleading requirement should therefore be rejected.

A. The Complaint Contains Sufficient Allegations to Support a Claim.

CMA argues that the Complaint does not include transaction-specific details about the allegedly improper demurrage and detention Charges. However, that argument overlooks the fact that the level of detail CMA demands, which was previously contemplated by the former version of Rule 62 of the Commission’s Rules of Practice and Procedure (the “Rules”), was deliberately eliminated in 2012 *to reduce the burden on complainants*.

Prior to 2012, Commission Rule 62 required that complaints seeking reparations plead specific shipment details, including individual bill of lading numbers, charges made or collected, and the amount of damages. However, Rule 62 was amended in 2012 specifically in order to “update and clarify the rules *and to reduce the burden on parties* to proceedings before the Commission.” NPRM Amendments to Commission’s Rules of Practice and Procedure-Subparts E and L, 77 F.R. 12528 (Mar. 1, 2012) (emphasis added). The version of Rule 62 applicable to the time period relevant to this proceeding thus *does not require identifying specific shipments and damages* to the level of detail that CMA seeks.

Rule 62 in its current form is consistent with the liberal pleading standard of Rule 8 of the Federal Rules of Civil Procedure. *See, e.g., J. Ambrogi Food Distribution, Inc. v. Teamsters Local Union*, 595 F. Supp. 3d 352, 358 (E.D. Pa. 2022) (denying defendant’s motion to dismiss for failure to allege a specific dollar amount of claimed damages, citing the liberal notice pleading regime set out in Rule 8); *Block v. Seneca Mortg. Servicing*, 221 F. Supp. 3d 559, 594 (D.N.J. 2016) (“[P]laintiffs ‘need not plead the exact dollar amount of their loss’ so long as the complaint provides sufficient notice of the potential damages) (internal citations and quotations omitted). Rule 8(a) of the Federal Rules of Civil Procedure, of course, requires only a “short and plain statement of the claim showing that the pleader is entitled to relief.” Fed. R. Civ. P. 8(a).

CMA’s insistence on identifying each specific transaction at the pleading stage imposes a heightened standard of specificity that was not only expressly eliminated from the Commission’s Rules but also is not required under the Federal Rules of Civil Procedure, and instead is an issue properly considered after the opportunity to engage in discovery and brief the merits of the claims. Based on the proper standards set forth in Rule 62 of the Rules and Rule 8 of the Federal Rules of Civil Procedure, as interpreted by *Twombly* and *Iqbal*, the Complaint satisfies the applicable notice pleading standard by alleging that CMA imposed improper Charges over a specified period by:

- describing the unreasonable practices associated with imposing these Charges in connection with circumstances that were outside of the control of Complainant, including the failure to account for terminal congestion and conditions, lack of availability of container return appointments, and CMA’s failure to mitigate delays as outlined in several email correspondences, see Compl. ¶¶ 151–56;
- alleging that a “substantial majority” of demurrage and detention Charges imposed by CMA—about which CMA undoubtedly has information—was improper, directly implicating CMA in the Shipping Act violations alleged and discussing several email correspondences, *see* Compl. ¶¶ 151–56; and
- alleging approximate amounts of the improper Charges, both in their entirety and CMA’s individual share thereof, which CMA incorrectly claims are missing, *see* Compl. ¶¶ 117, 156.

For these reasons, the Complaint already satisfies the applicable pleading standard at this stage, and CMA’s Motion should be denied.

B. CMA’s Interpretation of Evergreen Is Not Applicable to a Motion to Dismiss.

CMA relies on *Evergreen Shipping Agency (Am.) Corp. v. FMC*, 106 F.4th 1113, 1118 (D.C. Cir. 2024), for its discussion of the “circumstantial, fact-bound inquiry” applicable to demurrage and detention claims. However, *Evergreen* did not purport to establish a heightened *pleading standard*. Rather, the United States Court of Appeals for the District of Columbia Circuit held there that a full analysis of the reasonableness of demurrage and detention charges requires an examination of the factual circumstances surrounding the charges at issue—an inquiry that occurs at the *merits* stage, not on a motion to dismiss.⁴ CMA, as with its prior arguments on standing, conflates these stages of litigation by attempting to impose a factual burden on the Complaint that is only relevant at later points in the proceeding. At this stage, all well-pleaded allegations must be accepted as true, and the Complaint is only required to set forth a plausible claim—not to establish every transaction in exhaustive detail. It is also telling that the other Respondents in this proceeding facing detention and demurrage allegations in the Complaint did not claim any form of prejudice in (1) being able to respond to the Complaint or (2) proceeding through litigation without such granular detail contained in the Complaint.

Ultimately, the Complaint provides more than sufficient notice to CMA of the nature and extent of the claims against it. The factual inquiry described in *Evergreen* is properly conducted *after* discovery, when a developed record allows for a detailed analysis of individual transactions. Accordingly, Complainant’s demand for reparations from CMA should not be dismissed.

⁴ The Commission’s February 13, 2025 decision on remand in *Evergreen* further demonstrates the validity of EDI’s claims, explaining that even where a charge incentivizes a shipper to return a container, that charge might nonetheless violate the Shipping Act to the extent it fails to promote freight fluidity. *See TCW v. Evergreen Shipping Agency, et al.*, FMC Dkt. No. 1966(I), Dkt. Entry No. 16 at 9-10.

C. The Complaint Does Not Merely Recite Legal Conclusions.

CMA also wrongly asserts that the Complaint contains only conclusory allegations. However, the Complaint does not merely state that Charges were “wrongfully imposed”—it explains *why* they were improper:

- The Charges were imposed despite circumstances preventing the return or pickup of containers. *See* Compl. ¶¶ 54–72.
- CMA’s own conduct contributed to delays, rendering the Charges unreasonable. Compl. ¶ 151–56.
- The Charges were imposed systematically over multiple years, affecting a broad range of transactions. *See* Compl. ¶ 186.

These detailed allegations are far from the “threadbare recitals” that *Twombly* and *Iqbal* prohibit. Instead, they present a detailed claim that, when accepted as true, properly supports an inference that CMA violated the Shipping Act.

D. CMA’s Arguments About “Time-Barred” Charges Are Premature.

CMA also speculates that some of the Charges challenged in the Complaint may be “time-barred” without identifying any specific statutory limitation that would apply. Whether particular charges are within the statute of limitation is a factual issue inappropriate for resolution at the pleading stage. The Commission recently explained the process:

Motions for judgment on the pleadings are brought under Federal Rule of Civil Procedure 12(c), and motions to dismiss for failure to state a claim are brought under Rule 12(b)(6). The standard of review under these motions “is essentially the same.” On either motion, fact finders are to construe claims liberally, accept as true all well-pleaded facts, and draw all reasonable inferences in the complainant’s favor. Although a fact finder “generally may not rely on facts ‘outside’ the pleadings in deciding [either] motion, . . . it may consider matters incorporated by reference or integral to the claim, items subject to judicial notice, and matters of public record.”

Ovchinnikov v. Hitrinov, 2023 WL 1963462, at *5–6 (FMC Feb. 8, 2023) (citations omitted).

“Whether under Rule 12(b)(6) or (c), when the court considers matters outside the pleadings, other than matters of which the court may take judicial notice, it must treat the motion as one for summary judgment under Rule 56.” 2 Moore’s Federal Practice - Civil § 12.38 (2021).

The Complaint alleges a pattern of improper Charges during a defined period, which is sufficient to survive a motion to dismiss, especially a Motion such as CMA’s, which notably does not allege that *all* of the Charges against CMA would be time-barred. Whether certain specific Charges are time barred is a factual determination to be made on the basis of discovery. The Complaint alleges specific misconduct, provides a sufficient factual basis for a plausible claim, and does not merely recite legal conclusions. Accordingly, CMA’s Motion should be denied.

CONCLUSION

For the reasons stated herein, Complainant respectfully requests that the Presiding Officer deny CMA’s Motion to dismiss in its entirety.

Dated: February 18, 2025

HUTH REYNOLDS LLP



J. Luke Rushing
(202) 420-9628
lrushing@huthreynolds.com
Matthew J. Reynolds
(646) 872-9353
reynolds@huthreynolds.com
Karl C. Huth
(212) 731-9333
huth@huthreynolds.com
Gregory A. Crapanzano II
(917) 575-3440
gcrapanzano@huthreynolds.com
Heewan Noh
(202) 420-9628
hnoh@huthreynolds.com
Jack Mitchell
(202) 420-9628
jmitchell@huthreynolds.com

41 Cannon Court
Huntington, NY 11743

*Counsel for Complainant Euromarket Designs,
Inc.*

Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondents by emailing copies of those documents to the following counsel who have appeared thus far in this proceeding via email transmission this 18th day of February, 2025:

George W. Wright, Esq.
Narinder S. Parmar, Esq.
George W. Wright & Associates, LLC
505 Main Street, Suite 106
Hackensack, NJ 07601
gwright@wright-associate.com
nsparmar@wright-associate.com
Counsel for Respondent Maersk A/S

Garth S. Wolfson, Esq.
Edward A. Keane, Esq.
MAHONEY & KEANE, LLP
40 Worth Street, Suite 602
New York, New York 10013
gwolfson@mahoneykeane.com
ekeane@mahoneykeane.com
Counsel for Respondent Evergreen

Timothy Semenoro
Wook Chung
Robert O'Connor
Kaspar Kielland
Matteo Bonuzzi
Montgomery McCracken Walker &
Rhoads LLP
427 Madison Avenue, 24th Floor
New York, New York 10022
tsemenoro@mmwr.com
wchung@mmwr.com
roconnor@mmwr.com
mbonuzzi@mmwr.com
kkielland@mmwr.com
*Counsel for Respondent Ocean
Network Express PTE LTD*

Richard L. Beaumont, Esq.
Jessica Link Martyn, Esq.
Link Martyn PLLC
82 Nassau St., Suite 61985
New York, New York 10038
rbeaumont@linkmartyn.com
jmartyn@linkmartyn.com
Counsel for Respondent APEX Maritime Co., Inc.

Wayne R. Rohde, Esq.
Kathryn Sobotta, Esq.
Rachel Schwartz, Esq.
Christopher Raleigh, Esq.
Joshua Stein, Esq.
Neil Quartaro, Esq.
Cozen O'Connor
2001 M Street NW, Suite 500
Washington, DC 20036
wrohde@cozen.com
ksobotta@cozen.com
rschwartz@cozen.com

W. Ryan Snow, Esq
K. Barrett Luxhoj, Esq
Mackenzie R. Pensyl, Esq
CRENSHAW, WARE & MARTIN, PLC
150 West Main Street, Suite 1923
Norfolk, Virginia 23510
Telephone: (757) 623-3000
Facsimile: (757) 623-5735
wrsnow@cwm-law.com
kbluxhoj@cwm-law.com
mpensyl@cwm-law.com
Counsel for Respondent CMA CGM S.A.

craleigh@cozen.com
jstein@cozen.com
nquartaro@cozen.com
*Counsel for Respondents MSC
Mediterranean Shipping Company SA,
HMM Co., Ltd., and Wan Hai Lines
Ltd.*

Keith B. Letourneau, Esq.
Matthew J. Thomas, Esq.
Emma C. Jones, Esq.
Keith.Letourneau@BlankRome.com
Matthew.Thomas@blankrome.com
Emma.Jones@blankrome.com

*Counsel for Respondent COSCO
Shipping Lines Co., Ltd.*

Dated: February 18, 2025



J. Luke Rushing
For Complainant *Euromarket Designs, Inc.*